

Fictional Student Education Loan Agreement

1. Loan Description & Type

This document constitutes a fictional Education Loan agreement between Global Student Finance Corp. ("Lender") and Elara Vance ("Borrower"). The loan proceeds will be disbursed directly to the registrar of State University for academic tuition.

2. Stated Interest Rate & APR

The stated nominal interest rate for this student loan is 7.0% per annum. However, the loan is subject to an annual administration fee of 0.5% and a mandatory student platform fee of \$200. Consequently, the true effective annual percentage rate (Effective APR) is calculated at 8.5%.

3. Repayment & Prepayment Restriction (Red Flag)

Repayment of the principal and accrued interest shall commence exactly six (6) months following the Borrower's graduation. Prepayment Restriction: The Borrower may not prepay the outstanding balance, in part or in full, during the first 24 months of the repayment period.

4. Late Payment Surcharge (Red Flag)

Late Payment Penalty: A late fee of 5% of the total monthly payment amount will be charged for any payment received more than 15 days after the due date.